

To: **VP of Tax, Client**
From: Shaghayegh, KPMG U.S. LLP
Date: Today's Date 05/03/2025
Subject: Federal and State Tax Implications of Fulfillment Project

Issues:

1. What is the impact on federal taxable income from the proposed project?
2. How is the state incentive of \$2,000,000 treated for federal income tax purposes?
3. Which state has the lowest incremental tax burden, Ohio, or Virginia?

Research:

For federal income tax purposes, the property placed in service in the proposed fulfillment center will be classified under the MACRS depreciation system. The Modified Accelerated Cost Recovery System (MACRS) is used to recover the basis of most business and investment property placed in service after 1986. Furthermore, an incentive grant from the state in which the fulfillment center is located may qualify for section 118 non-shareholder contribution to capital treatment. This may allow the incentive not to be recognized in federal taxable income but rather reduce the basis of the qualified property acquired by the incentive.

The two proposed locations, Ohio and Virginia, have different state tax regimes. Virginia has a traditional net income based tax that is imposed on a corporation's state taxable income. The Ohio Commercial Activities Tax (CAT) is a gross receipts tax, not a net income based tax. The calculations below show the potential state tax impact expected from the fulfillment center's activities. For the Virginia corporate net income tax calculation, the state taxable income was assumed to be \$5 million. For the Ohio Commercial Activities Tax calculation, the Ohio gross receipts (sales) were assumed to be \$25 million.

Analysis:

Federal Issues:

According to IRS Publication 946, property that is owned by the taxpayer and using a trade or business is generally subject to an allowance for depreciation. According to the publication, land as well as inventory are not subject to the allowance for depreciation. Therefore, the following parts of the project will be subject to allowance for depreciation:

New building shell	\$10,000,000
Building improvements and other building fixtures	\$5,000,000
Movable equipment such as forklifts, material handling, machines	\$20,000,000

According to appendix B of the IRS publication, the asset class lives are indicated along with the appropriate MACRS recovery period. Unless described in one of the specific asset classes (Asset Classes 00.11 – 00.3), assets are classified based on the activity in which they are used. Buildings and land improvements are generally excluded from the activity asset classes. Since the taxpayer is an online retailer, the equipment is properly included in Asset Class 57.0, Distributive Trades and Services, with a five-year recovery period under the MACRS system. Therefore, the movable equipment, forklifts, material handling, etc., will fall under the five-year recovery period for MACRS.

The new road is a land improvement. Land improvements are described by the specific asset class, Asset Class 00.3 Land Improvements, and have a 15-year recovery period for MACRS.

In Chapter 4, nonresidential real property (such as a warehouse) is considered section 1250 property and, since it is not residential rental property, will have a recovery period of 39 years, including the building improvements. Since the property will be placed in service in January 2022, the following will be the impact to federal taxable income:

Building and improvement adjusted basis: \$15,000,000

MACRS depreciation allowance, table A-7a: 2.461%

Depreciation: \$369,150

Equipment adjusted basis: \$20,000,000

MACRS depreciation, 5 yr. property, half-year convention, first-year recovery (From table A-1): 20%

Depreciation allowance: \$4,000,000

Regarding the state grant of \$2,000,000, certain contributions to capital will not be taxable income if they meet certain requirements. See Internal Revenue Code, Section 118. However, according to IRC Section 118(b)(2), the grant from a government entity would not qualify for Section 118 treatment, therefore the grant is taxable.

State Issues:

Ohio's Commercial Activity Tax (CAT) is based on gross receipts not taxable income.

Ohio taxable gross receipts:		\$25,000,000
Less \$1 million exclusion:		<u>- \$1,000,000</u>
Net taxable gross receipts (Ohio taxable gross receipts less exclusion):		\$24,000,000
Ohio CAT rate:	X	0.26%
Tax due:		\$ 62,400
Annual minimum tax	+	<u>\$ 2,600</u>
Total Ohio CAT due:		\$ 65,000
Virginia's taxable income:		\$ 5,000,000
Virginia tax rate:	X	<u>6%</u>
Virginia net income tax liability:		\$ 300,000

At a high level, the Ohio Commercial Activity Tax tax burden is less than the Virginia corporate net income tax.

Conclusions:

The impact of the project for federal tax purposes will be:

Additional depreciation deductions in 2022 for the building and equipment totaling \$3,311,300, which is offset by additional taxable income from the state grant of \$2,000,000.

When comparing the Ohio Commercial Activity Tax (CAT) liability and Virginia corporate net income tax liability, the OH CAT liability of \$65,000 is lower than the Virginia corporate income tax liability of \$300,000.